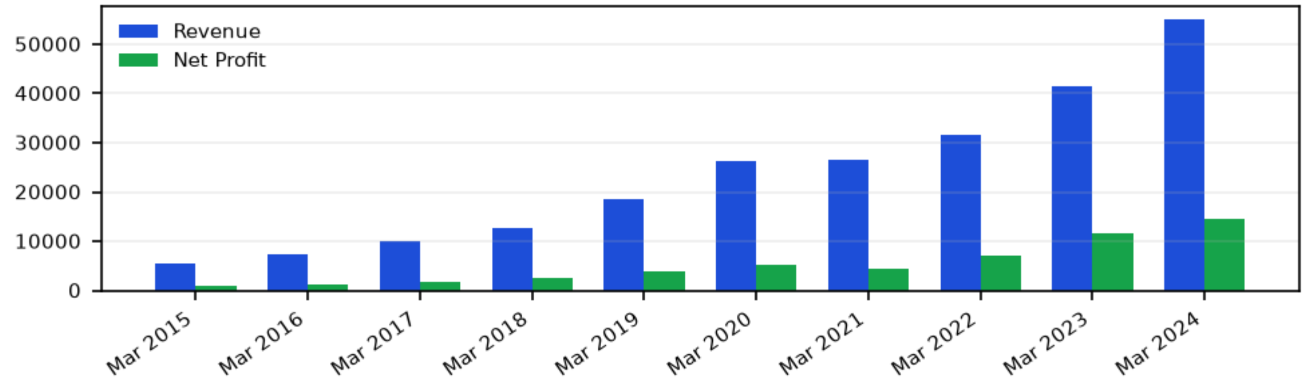
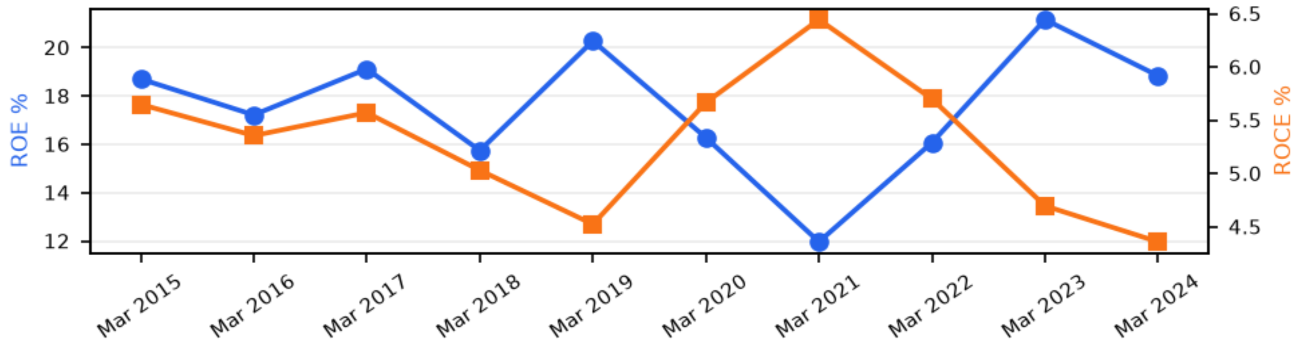
Bajaj Finance Ltd (BAJFINANCE) Financials

Revenue 54,972 Cr	Net Profit 14,451 Cr	ROE 18.8%
ROCE 4.4%	FCF -79,931 Cr	Capital Pattern Growth Funded by Debt

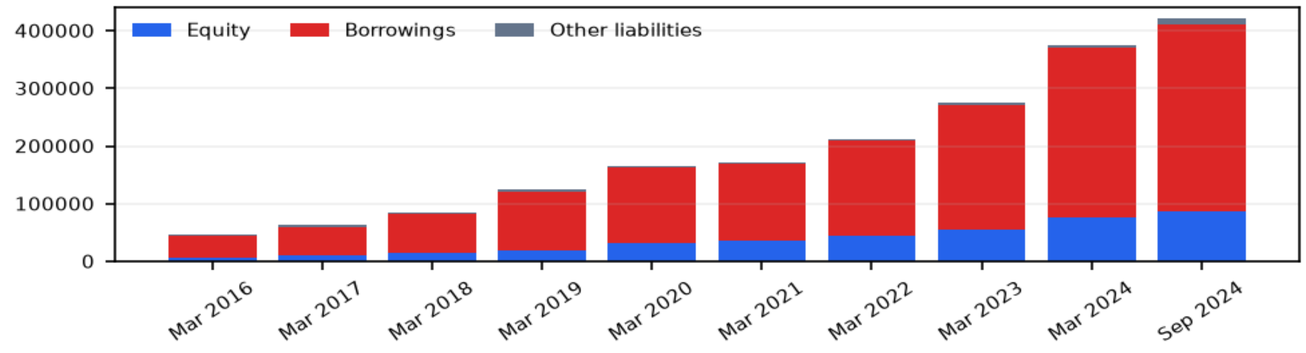
10-year Revenue and Net Profit

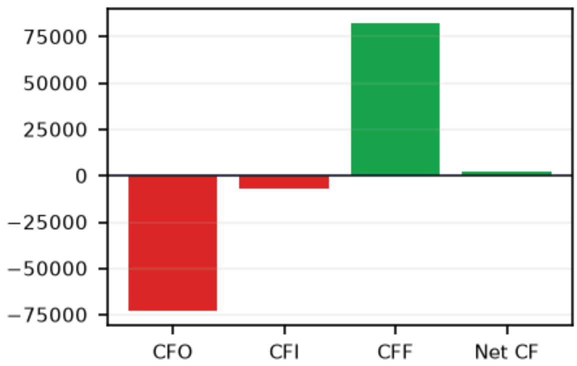


ROE and ROCE Trend



Balance Sheet Composition





Pros

- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Very high interest coverage ratio reflects negligible financial stress from debt servicing

Cons

- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital

Capital Allocation	Growth Funded by Debt